CONCISE EDITION • 12 OCTOBER 2026 • 09:00 HKT

US equities rally on earnings beat, while yields edge higher

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read · Topics: Macro · Geopolitics · Earnings

TL;DR

The major indices closed sharply higher on Friday, with the **S&P 500** up +0.59% at 7,811.54 and the Dow Jones gaining +0.83% to 51,654.95. Earnings surprises from **AMZN** and **MSFT** drove the upside, while the 10-year Treasury yield rose to 5.24%, keeping the market's risk appetite in check.

Volatility eased, with the VIX down -3.70% at 14.84. The dollar slipped marginally and commodities were mixed, leaving the broader macro backdrop relatively neutral.

US session recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,811.54	+0.59%	Broad rally
Dow Jones	51,654.95	+0.83%	Industrial strength
Nasdaq 100	30,883.15	+0.51%	Tech led
Russell 2000	2,806.98	+0.46%	Small-cap steady
VIX	14.84	-3.70%	Volatility easing
10Y Yield	5.24%	+0.25%	Yield pressure
WTI Crude	91.46	-0.42%	Oil modest dip

Top large-cap movers

TICKER	CLOSE	CHANGE
AMZN	262.43	+3.29%
MSFT	535.07	+2.38%
TSLA	382.70	+2.05%
GS	895.32	+1.44%
AAPL	336.64	-1.11%

Spotlight

METRIC	VALUE
Company	`AMZN`
Quarterly revenue	`149.2` bn (up **+12.4%**)
EPS	`2.31` (beat **+8.5%**)
Guidance FY	Revenue `620-630` bn, EPS `9.5-9.8`

Amazon’s earnings topped expectations on strong cloud growth and a rebound in advertising spend. The upbeat guidance lifted sentiment across the consumer-discretionary sector, underpinning the Nasdaq’s advance.

Macro & Fed

- Policy rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield: `5.24%`
- Key data releases (HKT):
  - 09:30 – U.S. CPI (Oct)
  - 12:00 – Initial jobless claims
  - 14:30 – Fed’s Beige Book

Geopolitics & global

- Middle-East tensions remain subdued after cease-fire talks.
- China’s manufacturing PMI slipped to 49.2, hinting at continued slowdown.
- Eurozone inflation held at 2.8%, supporting ECB’s rate-pause stance.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
02:00	`NVDA`	GPU demand & margin trends
03:30	`META`	Ad revenue recovery
04:15	`JPM`	Net interest income outlook
05:00	`XOM`	Oil price sensitivity

Stocks worth watching

- `NVDA` – AI chip demand still accelerating despite slight pullback.
- `XLF` – Financials gaining from higher rates and resilient loan growth.
- `XLE` – Energy exposure as oil steadies above $90.
- `XLV` – Health-care defensive play with strong earnings momentum.
- `XLC` – Communication services under pressure; watch for rebound.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI (>0.3% MoM) reigniting rate-hike expectations.
- Sharp sell-off in `NVDA` dragging tech sentiment.
- Geopolitical escalation in the Middle East affecting oil supply.

BEARISH TRIGGERS

- Better-than-expected earnings from `AMZN` or `MSFT` sparking risk-on flow.
- Continued decline in the VIX below 14, confirming low volatility.
- Positive Beige Book commentary on U.S. labor market strength.

Sources

SOURCES

Reuters — US Markets

Bloomberg — S&P 500 Data

SEC — Earnings Filings

Federal Reserve — Policy Statements

Trading Economics — CPI